

TRIPLE WITCHING TRADING PLAYBOOK

How quarterly expiration flow works, why it matters, and how to position before, during, and after the event.

Core thesis

- Triple witching is a forced-flow event, not a built-in bullish or bearish signal.
- The best question is not 'What should the market do?' but 'Where must risk be transferred, and when?'
- On these sessions, settlement rules, auction mechanics, strike positioning, and hedge unwinds matter more than folklore.

Inside

- Mechanics & settlement
- Positioning framework
- T-5 to T+1 checklist
- Risk controls
- 2026 calendar + prep sheet

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Educational use only. Verify the exact contract specifications, settlement conventions, calendar dates, and broker exercise/assignment procedures for every product you trade.

Three questions before every witching session

01

Where is the largest strike concentration in the products I trade?

02

Which auction matters most for those products — the open, the close, or both?

03

What position becomes a problem if I carry it into expiration or into the close?

1. Executive summary

The short version: what triple witching is, why it matters, and what makes it different from an ordinary Friday.

- Triple witching refers to the simultaneous quarterly expiration of stock options, equity index options, and equity index futures. It traditionally occurs on the third Friday of March, June, September, and December.[1][2]
- Because different products settle differently, order flow concentrates into the opening and closing auctions rather than distributing evenly through the session.[2][3]
- It is not inherently bullish or bearish. The edge comes from reading positioning, settlement conventions, and whether dealers are dampening moves or amplifying them.
- Weekly and daily expirations mean expiry-related flows happen more often than they once did, but quarterly witching still matters because multiple major products and rolls line up at once.[3]
- Product rules vary. Standard third-Friday index options can be A.M.-settled, while stock and ETF options settle physically and can create assignment risk if you carry them into expiration.[1][6][7]

NOTE

Terminology note

Historically, traders often said “quadruple witching” when single-stock futures were part of the mix. Nasdaq notes that U.S. single-stock futures ceased trading after OneChicago’s 2020 closure, although many traders still use “quad witch” informally.[2]

Settlement cheat sheet

Product	Typical quarterly expiry behavior	What traders should care about
Stock & ETF options	Standard monthly equity options expire on the third Friday and result in physical delivery if exercised; OCC notes exercise notices produce stock delivery on T+1.[6]	Watch the close, near-the-money assignment risk, and late hedging in the underlying.
Many standard third-Friday index options	Many cash-settled contracts (for example, standard SPX) use an opening-based settlement value; the last trade can be Thursday, leaving overnight settlement risk into Friday’s open.[1][8]	Treat Thursday’s close and Friday’s open as separate risk events; do not assume the opening index print equals the settlement value.
Equity index futures	Quarterly contracts settle to a final opening-based value, and CME’s roll date is the Monday prior to the third Friday; after that, liquidity customarily shifts to the next contract month.[4][5]	Track basis, roll activity, and whether your charts and levels are on the true lead month.

2. How the event occurs

A clean mental model: expiry does not create magic; it forces market participants to transfer or remove risk on a schedule.

A triple witching session becomes important when expiring contracts stop being abstract exposures and start becoming operational tasks. Dealers, institutions, and systematic traders have to decide what to close, what to roll, what to exercise, and which hedges must disappear with the contract.

How a Triple Witching Event Creates Forced Flow

Illustrative schematic: what expires, how it settles, and where the pressure tends to show up.

Key idea: triple witching is a forced-flow event, not a built-in directional signal.

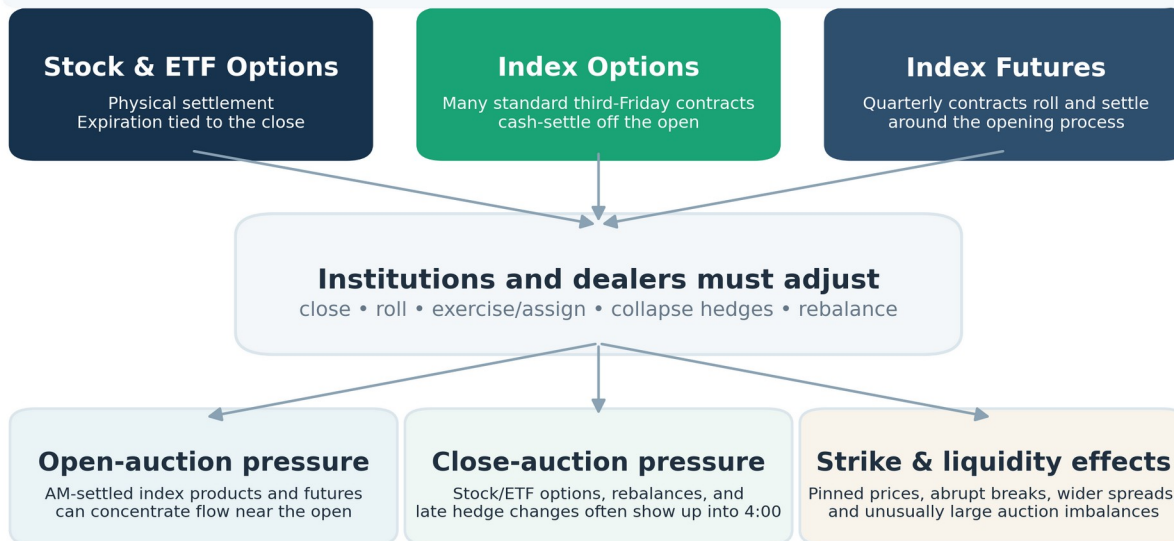


Figure 1. Illustration only. Exact settlement rules depend on the symbol and contract specification.[1][4][6][8]

What actually moves price

- Hedge collapse: once an option or future stops existing, the hedge associated with that exposure may no longer be needed.
- Roll migration: after the CME equity index roll date, the market's true liquidity often shifts to the next contract month, which can distort front-month charts if you do not adjust.[4]
- Strike gravity: in calmer, long-gamma conditions, spot can orbit heavily populated strikes; in short-gamma conditions, the same zones can break violently.
- Auction concentration: A.M.-settled index products matter most near the open, while stock and ETF expiries often matter more into the close.[2][3]

3. Why triple witching matters

The importance comes from concentrated volume, benchmark-setting, and the fact that the open and close can become risk-transfer events.

Nasdaq’s market-structure work on quarterly witching dates found unusually large auctions and materially higher full-day share volume. In that historical study, opening auctions averaged roughly ten times normal size, closing auctions roughly five times normal size, and overall daily share volume about 44% above a normal day.[2]

A later Nasdaq review showed the split in pressure more explicitly: cash-settled index products and equity index futures concentrate around the open, while stock and ETF options create far more closing-auction sensitivity.[3]

Illustrative Intraday Pressure Profile on Quarterly Expiration Days

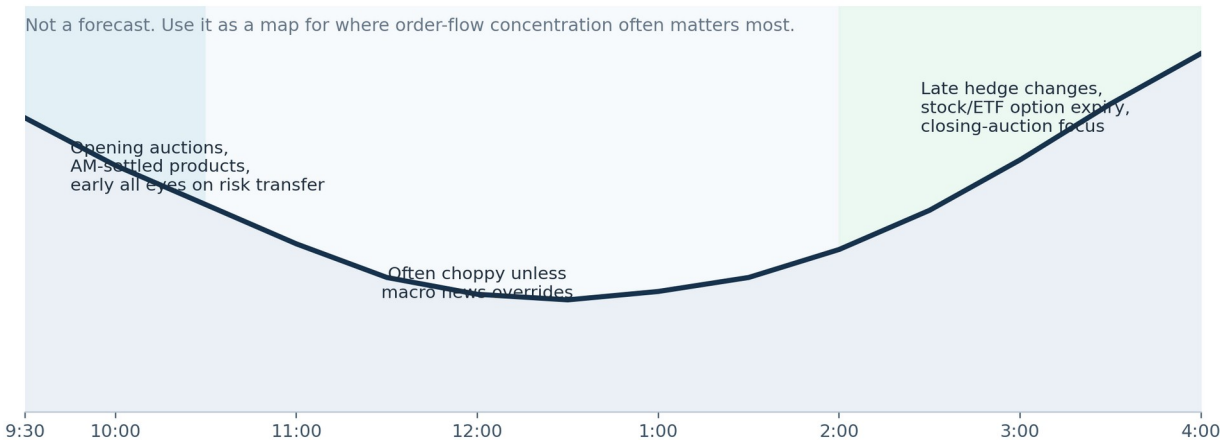


Figure 2. Illustrative path only. Real sessions can invert if macro news, rebalances, or short-gamma conditions dominate.[2][3]

What usually changes the most

Volume Expect bigger auctions, heavier tape, and more need to distinguish real liquidity from fleeting prints.	Volatility Triple witching can suppress movement near a heavy strike or amplify it when hedges have to chase price.
Technical behavior VWAP, prior highs/lows, and opening range still matter — but auction mechanics can temporarily overpower tidy chart patterns.	Market structure Rebalances, roll activity, and settlement conventions often matter more than narrative headlines on these days.

4. Positioning framework

Do not start with a prediction. Start by asking whether the session is more likely to pin and mean-revert, or break and expand.

The same calendar event can produce two very different trading environments. Your first job is to identify the regime. The correct question is: is the market being magnetized toward a strike, or is hedging pressure forcing price away from it?

Regime matrix

Regime	Clues	Better bias	Avoid
Pin / reversion	Spot keeps returning to a heavy strike, implieds are stable, and early breaks fail.	Fade overextensions back toward VWAP, value, or the strike cluster.	Chasing the first impulse away from the pin.
Break / expansion	Gap away from strikes, vol is rising, and pullbacks keep holding.	Trade with confirmed breaks and pullbacks; size smaller than a normal trend day.	Stubbornly fading a genuine short-gamma move.
Open-only event	A.M.-settled products dominate the open but cash equities do not follow through.	Treat the open and post-open rotation as separate trades.	Assuming the first print defines the whole day.
Close-only event	The session is quiet until late hedging, stock/ETF expiry pressure, or rebalance flow builds after 3:00.	Flatten or reduce unwanted option risk; trade only accepted late moves.	Being accidentally short near-the-money options into the close.

Minimum dashboard before you trade

- Nearest high open-interest strikes on SPY, QQQ, SPX, or the individual names you plan to trade.
- Which futures contract is actually the lead month after the roll date.[4]
- Prior-day value, VWAP, high/low, opening range, and any level that matters regardless of options flow.
- Whether a macro catalyst or index rebalance is colliding with the same session.[2]
- Your broker's exercise and contrary-instruction procedures if you carry options into expiration.[7]

5. Timeline: how to position around the event

Good triple-witching trades are often won before the bell — in preparation, instrument choice, and clear risk limits.

Window	Objective	Action checklist
T-5 to T-2	Build the map	Mark the quarterly expiry; identify heavy strikes; note the CME roll date and lead month; screen for macro data and rebalances; reduce the number of markets you intend to trade.
T-1	Define scenarios	Write down pin vs. expansion zones, max risk, no-trade conditions, and which instrument you will use if the setup appears.
Open	Let flow show itself	On A.M.-settled products, treat the open as part of settlement. Unless your edge is in auctions, wait for the opening range or first clean retest.
Midday	Stay selective	If price is hugging a heavy strike and volume fades, prefer smaller mean-reversion trades. If price keeps leaving the strike and finding acceptance, shift to continuation bias.
Power hour	Respect late distortions	Closing-auction pressure, stock/ETF pin risk, and rebalance flow can dominate. Reduce hero trades and tighten your process.
T+1	Look for release trades	The next session can be cleaner because forced expiry pressure is gone. Watch for moves that were suppressed or exaggerated by the prior day's pin.

NOTE

Process risk matters

After the roll date, many traders still watch the expiring futures month out of habit. That can make levels, volume, and even apparent trend quality look worse than they really are. Confirm the lead month first.[4]

6. Three setups that actually fit the day

These are not the only ways to trade quarterly expiration, but they are the ones that align with the mechanics instead of fighting them.

A. Pin-and-fade setup

When it fits: Price keeps rotating around a high-open-interest strike, realized volatility softens, and moves away from the level are repeatedly rejected.

Execution: Let the first impulse exhaust, then use failed breaks, VWAP reclaims/rejections, or opening-range failures to fade back toward the pin.

Invalidation: Sustained acceptance away from the strike with expanding volume and no snapback.

Best use: Often cleaner in the underlying, ETF, or lead-month future than in far OTM same-day options.

B. Expansion / acceptance breakout

When it fits: A large gap, rising volatility, one-sided tape, and repeated pullbacks that keep holding away from the heavy strikes.

Execution: Trade with the accepted break after the first rotation, not with the raw opening print. Use smaller size than on a standard trend day.

Invalidation: Loss of acceptance back inside the range or a clean rejection back through VWAP / opening range.

Best use: Best when macro news or short-gamma conditions clearly overwhelm the pin effect.

C. Late-day unwind / closing-auction setup

When it fits: The tape is relatively quiet until the final hour, then hedging, stock/ETF expiry pressure, or index-rebalance flow starts to dominate.

Execution: Reduce prediction. Trade only accepted moves away from afternoon value or a pinned strike. Into the final half hour, execution quality matters as much as direction.

Invalidation: The imbalance fades and price snaps back into value without follow-through.

Best use: If assignment risk is not part of the plan, flatten unwanted short near-the-money options before the close.[7]

RULE

Instrument choice rule

A pin day is often easier to express in the underlying, ETF, or lead-month future. Same-day far OTM options add decay and spread risk precisely when the cleaner edge may be in price location and execution quality.

7. Risk controls that matter more on witching

Good risk control is not optional here. Process mistakes can hurt even when your directional read is broadly right.

Rule	Why it matters on quarterly expiry
Trade smaller than usual	Forced flow can produce abrupt reversals even when your idea is conceptually correct.
Use limit orders and liquid instruments	Spreads and slippage matter more when options are flipping in and out of the money.
Never carry a short option by accident	OCC exercise-by-exception procedures and firm policies can leave you with unwanted stock or cash exposure.[7]
Know A.M. vs P.M. settlement	The open and close are different risk events. Treat them that way. [1][8]
Separate process risk from market risk	Watching the wrong futures month or the wrong strike map can invalidate your whole read.

WATCHLIST

Common traps

Chasing the first five-minute move.

Assuming every quarterly expiration must pin.

Fading a real short-gamma or macro break because 'it should mean-revert.'

Using far OTM same-day options when the better edge is in the underlying.

Forgetting that broker cutoffs and contrary-instruction procedures may not match what you expect.[7]

NOTE

Assignment reminder

The Options Industry Council notes that OCC's administrative exercise-by-exception procedure generally exercises equity options that are \$0.01 in-the-money unless contrary instructions are provided, but brokers can apply their own procedures. If you do not want expiration risk, close or roll before the cutoff.[7]

8. Triple witching daily prep sheet

Use this page the day before or the morning of the event. The goal is to force clarity before price gets noisy.

Date	_____	Primary products	_____
Lead month	_____	Macro events	_____
Heavy strikes	_____	Session regime	Pin / Expansion / Neutral / No-trade
Max daily loss	_____	Size cap	_____

Before the open

- ☐ Heavy strikes identified
- ☐ Lead month confirmed
- ☐ A.M./P.M. settlement checked for the products in play
- ☐ Macro calendar and rebalance risk reviewed
- ☐ Max loss and size cap set

At the open

- ☐ Opening range marked
- ☐ VWAP and prior-day extremes marked
- ☐ First failed move or first accepted move noted
- ☐ No trade taken until it matched the written plan

Into the close

- ☐ Unwanted option exposure reduced or flattened
- ☐ Closing-auction / rebalance risk re-evaluated after 3:00
- ☐ Exit plan written before the final half hour

9. 2026 calendar and source notes

Use the calendar as a planning aid, then re-check the official holiday and expiration schedules for the exact products you trade.



Figure 3. Planning dates only. June 2026 shifts because the standard Friday session is affected by the Juneteenth holiday.[9]

Do not confuse traditional third-Friday quarterly witching with separate quarterly option programs that list end-of-quarter expirations on the last business day of the quarter. They are related, but not the same event.[3][6]

Source notes

- [1] Cboe, Settlement of Standard, A.M.-Settled S&P 500 Index Options, July 17, 2024.
- [2] Nasdaq, The Powerful Impact of Triple Witching, June 10, 2021.
- [3] Nasdaq, What's Driving the Growth in Options Trading, April 13, 2023.
- [4] CME Group, Equity Index Roll Dates.
- [5] CME Group, Managing Micro E-mini Futures Expiration and related equity index futures FAQs.
- [6] OCC, Equity Options Product Specifications.
- [7] Options Industry Council / OCC, Options Assignment FAQ.
- [8] Cboe, Benefits of Index Options: Cash Settlement's Pole Position.
- [9] OCC 2026 Holiday and Expiration Schedule; Cboe 2026 Options Expiration Calendar; CME 2026 holiday schedule.

NOTE

Final reminder

This playbook is educational and process-focused. It is not investment, tax, or legal advice. Options and futures involve substantial risk, and product-specific rules can change.